

Monthly JBV / Research Policy Digest

Generated: 2026-07-15 10:20 Coverage: 2026-09-01 to 2026-10-01 | Journal of Business Venturing (7); Research Policy (20) Total papers: 27 (27 with abstract, 27 with PDF)

Journal breakdown: - Journal of Business Venturing: 7 - Research Policy: 20

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Journal of Business Venturing

Volume 41, Issue 5 | Published 2026-09-01

1. Aspirations, performance feedback, and informal entrepreneurs' decision to formalize

Authors: Selorm Agbleze, Marcus M. Larsen

DOI: [10.1016/j.jbusvent.2026.106620](https://doi.org/10.1016/j.jbusvent.2026.106620) Published: 2026-09-01

Fields & Theories:

- **Fields:** Informal Entrepreneurship, Strategic Management, Institutional Theory
- **Theories:** Behavioral Theory of the Firm, Performance Feedback Theory, Institutional Theory

Abstract:

We develop a theory explaining the conditions influencing entrepreneurs' decisions to formalize versus remain informal. Building on the behavioral theory of the firm, we argue that formalization is a viable strategy for informal entrepreneurs with growth needs who perform below opportunity-based aspirations to generate new sources of revenue, and for entrepreneurs with survival needs who perform above necessity-based aspirations to secure a durable livelihood. Conversely, entrepreneurs performing above their opportunity-based aspirations avoid formalization to maintain informal advantages, whereas entrepreneurs performing below their necessity-based aspirations perceive survival as particularly salient and thus avoid formalization. Moreover, the likelihood of formalizing, as a function of the performance relative to both necessity- and opportunity-based aspirations, is moderated by the level of meso-institutional support for formalization. We contribute by conceptualizing formalization as a complex strategic decision surrounded by severe uncertainty with important consequences for informal entrepreneurship. This reconceptualization enables us to frame aspirations as an important source of heterogeneity among informal entrepreneurs, shaping how they evaluate and respond to the prospect of formalization.

2. Chronos meets Kairos: The strategic enactment of time in corporate entrepreneurship

Authors: Aracely Soto-Simeone

DOI: [10.1016/j.jbusvent.2026.106627](https://doi.org/10.1016/j.jbusvent.2026.106627) **Published:** 2026-09-01

Fields & Theories:

- **Fields:** Corporate Entrepreneurship, Strategic Management, Organizational Behavior
- **Theories:** Temporal Work, Chronos and Kairos (Temporal Theory)

Abstract:

This study extends current knowledge on time and temporal work in entrepreneurship by exploring how corporate entrepreneurs navigate the temporal complexity underlying their situated entrepreneurial endeavors. By drawing on a sample of corporate entrepreneurs operating in large and established Finnish organizations, I develop a model of temporal work which unpacks the practices that corporate entrepreneurs skillfully deploy to leverage and influence the temporal structures that condition their entrepreneurial work. Moreover, the study elucidates the nature of time—represented by the two opposing temporal ‘forces’ of chronos and kairos underlying corporate entrepreneurship—as a pivotal element at play in corporate entrepreneurial processes, further illuminating the consequences of such temporal work for corporate entrepreneurs and their employing firms.

3. Civic listening: A social capital perspective on civic wealth creation.

Authors: Valentin Held, Guillermo Casasnovas

DOI: [10.1016/j.jbusvent.2026.106628](https://doi.org/10.1016/j.jbusvent.2026.106628) **Published:** 2026-09-01

Fields & Theories:

- **Fields:** Social Entrepreneurship, Community Development, Stakeholder Management
- **Theories:** Social Capital Theory, Civic Wealth Creation Framework

Abstract:

Societal challenges are complex and usually require solutions at the local level that involve diverse stakeholder groups. Research on civic wealth creation has defined the concept of “regimes of support”, which can include philanthropic organizations, local public administrations, or impact investors that are well-positioned to generate social, communal, and economic wealth. However, contextual factors such as existing community social capital influence the specific ways in which regimes of support gain awareness about the needs and opportunities of the community and hence contribute to civic wealth creation. Therefore, our study examines how regimes of support promote civic wealth creation considering different levels of community social capital. Leveraging a qualitative multiple case study of six Spanish community foundations, we develop the concept of civic listening as a strategic ability through which regimes of support seek, attract, and co-create awareness about needs and opportunities of enterprises, community members and other regimes of support. We further show that civic listening can be enhanced through the practice of catalyzing communal work, and that the deployment of civic listening is associated with existing levels of community social capital. Overall, we advance empirical and theoretical research on civic wealth creation by challenging and complementing some of the initial conceptual insights of this literature, as well as discussing the theoretical and practical implications of our contributions within and beyond the context of community foundations.

4. Funding for social impact or business success: The role of emotional variety in crowdfunded microlending

Authors: Yicheng Zhang, Ya Zhou, Chenxi Fu, Yi Liu

DOI: [10.1016/j.jbusvent.2026.106625](https://doi.org/10.1016/j.jbusvent.2026.106625) Published: 2026-09-01

Fields & Theories:

- **Fields:** Entrepreneurial Finance, Social Entrepreneurship, Behavioral Economics
- **Theories:** Emotions-as-Social-Information (EASI) Theory, Norm-based Evaluation, Deservingness Theory

Abstract:

On crowdfunded microlending platforms, entrepreneurial narratives commonly frame ventures around either social (SVO) or economic (EVO) value orientations. Although not inherently conflicting, prior research shows that these value orientations can differ in their effects on funding performance, suggesting that the value orientations alone do not fully account for funders' decisions. Drawing on norm-based evaluation, we argue that narrative value orientations elicit distinct expectations among funders, leading them to evaluate whether the entrepreneur aligns with or violates those expectations. This alignment or misalignment, in turn, shapes their deservingness judgments through either moral or utility-based evaluation paths. Building on the emotions-as-social-information literature, we propose that emotional variety serves as a key cue influencing these paths and funding decisions, determining how value orientations translate into funding performance. Specifically, we hypothesize that high emotional variety accelerates funding for SVO narratives by facilitating deservingness judgments through a moral path, but slows funding for EVO narratives by hindering deservingness judgments through a utility-based path. We test the research model using two complementary studies: a field study based on Kiva platform data and a controlled online experiment. The results support our hypotheses, and additional experimental analyses further clarify the distinct evaluation paths activated by value orientations, through which emotional variety influences funders' deservingness judgments and funding decisions via inferential and affective mechanisms. By providing an alignment perspective, this study advances research on crowdfunded microlending, hybrid ventures, and entrepreneurial communication, while offering practical insights for entrepreneurs, microfinance institutions, and platform designers pursuing hybrid objectives.

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5. Navigating moral boundaries: How entrepreneurs manage stigma premiums in morally contested markets

Authors: Aureliu Sindila, Nicolai J. Foss, Xueyong Zhan

DOI: [10.1016/j.jbusvent.2026.106622](https://doi.org/10.1016/j.jbusvent.2026.106622) Published: 2026-09-01

Fields & Theories:

- **Fields:** Entrepreneurship, Organizational Sociology, Strategic Management
- **Theories:** Organizational Stigma Theory, Economics of Repugnance, Legitimacy Theory

Abstract:

Entrepreneurship research has largely treated legitimacy as a resource that can be accumulated, implying that entrepreneurs in morally stigmatized markets should unequivocally pursue destigmatization. This assumption generates a puzzle: if legitimacy is universally beneficial, we should observe a uniform trajectory toward mainstream acceptance; however, entrepreneurs in contested markets such as cannabis, payday lending, and commercial surrogacy frequently resist normalization, opting out of licensing systems, opposing regulatory standardization, or reinforcing subcultural boundaries. We resolve this puzzle by theorizing that for entrepreneurs engaged in legally permissible but morally contested transactions, stigma functions as both a liability and a strategic asset. Drawing on the economics of repugnance and organizational stigma theory, we propose that moral disapproval simultaneously suppresses consumer demand and restricts competitive entry, generating a stigma premium for incumbents. We develop the concept of the strategic adjustment of moral stigma to explain how entrepreneurs manage this trade-off. We identify two primary strategic pathways: destigmatizing work, which is deployed when the level of stigma exceeds a viability threshold and threatens market survival, and maintenance-oriented work, which is deployed when the level of stigma

erodes below a protection threshold and invites commodification. Five propositions specify the supply-side and demand-side mechanisms that govern strategy selection, linking moral stigma to entry rates, market demand, firm-level profitability, and entrepreneurial action. Our theory contributes to the entrepreneurship research by reconceptualizing stigma as a variable amenable to strategic adjustment, not only reduction, and by explaining when and why entrepreneurs in contested markets pursue seemingly opposing strategies.

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6. The long shadow of adolescent friendships: How early peer relationships predict entrepreneurial careers

Authors: Seok-Woo Kwon, Kamil Sicinski, Shaghayegh Mohammadi

DOI: [10.1016/j.jbusvent.2026.106621](https://doi.org/10.1016/j.jbusvent.2026.106621) **Published:** 2026-09-01

Fields & Theories:

- **Fields:** Entrepreneurship, Economic Sociology, Life Course Research
- **Theories:** Life Course Perspective, Social Capital Theory, Peer Influence

Abstract:

Self-employment unfolds within social and developmental contexts, yet research rarely examines how early-life relationships relate to occupational outcomes across the life course. We ask whether adolescent friendships are associated with self-employment in adulthood, linking individuals' later career outcomes to the self-employment of peers they nominated as adolescents. We use two longitudinal datasets: the National Longitudinal Study of Adolescent to Adult Health, which follows respondents from adolescence (1994–1995) into adulthood (2016–2018), and the Wisconsin Longitudinal Study, which follows a cohort from age 18 (1957) to age 65 (2004). Across both panels, having an adolescent friend who is self-employed is associated with a higher likelihood of the individual's own self-employment decades later, net of socioeconomic origins, ability, personality, and adult context. The associations are heterogeneous: friends in incorporated self-employment are linked to higher rates of entry into both incorporated and unincorporated self-employment and to higher midlife earnings, even after conditioning on the individual's own organizational form, whereas friends in unincorporated self-employment show limited or null associations. The association is also strongest within smaller, more concentrated adolescent networks. Because friendships form before careers take shape, these associations may reflect sorting on shared interests and dispositions present when the friendships formed as much as peer influence, a distinction our designs cannot fully resolve. Together, the findings locate the social patterning of self-employment earlier in the life course and show that the form of peers' self-employment is associated with both entry and later economic returns.

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7. Values work in early-stage venturing: How entrepreneurs make sustainability commitments actionable

Authors: Matthias Pepin, Luc K. Audebrand, Maripier Tremblay, Karine Laperrière

DOI: [10.1016/j.jbusvent.2026.106619](https://doi.org/10.1016/j.jbusvent.2026.106619) **Published:** 2026-09-01

Fields & Theories:

- **Fields:** Sustainable Entrepreneurship, Entrepreneurial Decision-making, Business Ethics
- **Theories:** Values Work Theory, Pragmatic Axiology, Justification Theory

Abstract:

Research on sustainable entrepreneurship shows that personal values shape sustainable entrepreneurial intentions and opportunity evaluation, yet offers limited insight into how such values are enacted in early-stage decision-making. To address this gap, we draw on values work theory and pragmatic axiology to study how entrepreneurs mobilize personal values in concrete decision episodes during the early development of sustainable ventures. Using event-based interviews with 15 sustainability-oriented entrepreneurs, we analyzed 165 decision episodes across core venture domains. Findings show that

entrepreneurs justify their decisions through a broad range of values organized into higher-order value registers. Comparison across the dataset reveals seven recurrent, domain-specific configurations of value registers, each associated with a distinct decision challenge: benchmark, proof, embodiment, embeddedness, cohesion, legitimacy, and market. Across these challenges, entrepreneurs articulate aspirational and operational value orientations in ways that make decisions both justifiable and viable. With its focus on individual entrepreneurs at the formative stage of venture development, this article makes four contributions. First, it provides an empirically grounded account of personal values in action in the early development of sustainable ventures. Second, it extends values work theory by showing how values work unfolds within the evaluative structure of early-stage decision-making through the articulation of aspirational and operational value orientations. Third, it develops a structured method for analyzing value mobilization in entrepreneurial decision episodes. Fourth, it offers entrepreneurs and ecosystem actors a non-normative guide for navigating challenges in sustainable venture development. Future research could extend this lens to later stages and other venturing settings.

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Research Policy

Volume 55, Issue 8 | Published 2026-10-01

1. Business model innovation pathways: Digital transformation after disruption at The New York Times and The Washington Post

Authors: Paolo Aversa, Alessio Cozzolino, Amy Basil

DOI: [10.1016/j.respol.2026.105536](https://doi.org/10.1016/j.respol.2026.105536) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Strategic Management, Innovation Management
- **Theories:** Complementary Assets Theory, Business Model Innovation, Disruptive Innovation Theory

Abstract:

Digital technologies increasingly challenge firms by disrupting the complementary assets that support value capture—such as distribution and monetization channels. While the phenomenon of complementary-asset discontinuity has begun to attract scholarly attention, we still lack an understanding of the different business model innovation pathways incumbents can pursue in response, especially when adapting to specific types of discontinuous changes. We address these gaps through a comparative case analysis of the digital transformation of two leading newspapers, The New York Times and The Washington Post between 2009 and 2021. Despite facing the same technological discontinuity, the two firms pursued very distinct pathways: The New York Times progressively moved toward a model characterized by “business-to-consumer knowledge leadership” by extending its editorial core into new consumer-facing offerings, whereas The Washington Post developed infrastructure-centric solutions, repositioning its model toward a “business-to-business technology leadership.” From these cases, we developed a process framework of two alternative business model innovation pathways that specifies the antecedents (strategic focus), mechanisms (asset reconfiguration), and outcomes (business model innovation) shaping divergent responses. The study advances the literatures on business model innovation, technological change, and complementary assets.

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2. Can FinTech innovate green finance? Scrutinising the financial ecologies and innovation dynamics of FinTech for forest restoration

Authors: Jack L. Harris, Felicia Liu, Benjamin S. Thompson

DOI: [10.1016/j.respol.2026.105564](https://doi.org/10.1016/j.respol.2026.105564) Published: 2026-10-01

Fields & Theories:

- **Fields:** FinTech, Sustainable Finance, Environmental Innovation
- **Theories:** Platform Ecologies, Socio-technical Fixes

Abstract:

Green finance has struggled to make a difference in climate change mitigation. For some, the main limitations lie in scaling and diversifying financial flows and instruments to close the climate funding gap, while for others, green finance is fundamentally flawed as an incumbent-led project that opens new environmental frontiers for accumulation. In response, FinTech has been touted as offering the technological solutions that could both bridge the climate financing gap and disrupt the systemic issues green finance faces. Yet, critical voices question whether FinTech is simply the latest ‘technological turn’ in a long line of socioecological fixes, designed to reintermediate financial activity onto increasingly powerful FinTech platforms. To assess the potential for Fin Tech to innovate green finance, we explore a suite of FinTech innovations aimed at enticing, incentivising, and thus mobilising retail consumers to fund tree planting for forest restoration as a means of delivering climate, biodiversity, and livelihood outcomes. Rooted in the award-winning Ant Forest innovation by Alibaba, we document eight subsequent variations of the Ant Forest model by different FinTech firms, who share the same focus on enabling consumer-funded tree planting – but modify the initial innovation in various ways. By utilising a ‘platform ecologies’ framework, we reveal that these innovations have delivered significant environmental outputs, with these nine FinTechs collectively financing the planting of over 750 million trees, but that evidence of environmental impact in terms of tree survival and carbon sequestration rates, remains vague. Moreover, whilst these nine FinTechs offer novel green finance solutions, they are also fundamentally driven by platform development to increase users and revenue – rather than environmental concern.

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3. Complexity and the uncertain impact of novel science

Authors: Nicola Melluso

DOI: [10.1016/j.respol.2026.105570](https://doi.org/10.1016/j.respol.2026.105570) Published: 2026-10-01

Fields & Theories:

- **Fields:** Economics of Innovation, Sociology of Science, Scientometrics
- **Theories:** NK Framework, Complexity Theory, Problem-Solving View of Science

Abstract:

Novel scientific ideas drive progress, yet their outcomes are highly uneven. This paper examines whether problem complexity — the degree of interdependence among elements a study must coordinate — shapes the impact of novel research. I introduce a measure of complexity based on the NK framework and find that novel work addressing more complex problems is substantially more likely to achieve high impact, less likely to receive minimal citations, recognized earlier, and cited more broadly across fields. These patterns can be interpreted through the problem-solving view of science, the topology of search landscapes, and characteristics of the combinations themselves. The findings suggest that variation in the outcomes of novel research depends critically on the structure of the problems to which novelty is applied. Data on the complexity of papers are released at <https://doi.org/10.5281/zenodo.20813592>.

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4. Do public credit guarantees boost R&D and innovation?

Authors: Ahmet Deryol, Leone Leonida, Gulcin Ozkan

DOI: [10.2139/ssrn.4899303](https://doi.org/10.2139/ssrn.4899303) Published: 2026-10-01

Fields & Theories:

- **Fields:** Innovation Finance, Public Policy, Entrepreneurial Finance
- **Theories:** Financial Constraints, Market Failure, Information Asymmetry

Abstract:

While public credit guarantees (PCGs) have been around for a long time, their use expanded significantly during the global financial crisis and the COVID-19 pandemic to support the corporate sector and facilitate economic recovery. Given the scale of these programmes and their potential fiscal implications, much of the existing literature has focused on whether PCGs improve credit allocation and financial outcomes. In contrast, this paper examines whether PCGs impact firms' R&D and innovation efforts, utilizing a rich data set from Turkey's Credit Guarantee Fund—one of the largest schemes of this kind—and employing a staggered difference-in-differences (DiD) approach preceded by a comprehensive matching procedure. We find that firms receiving guaranteed loans exhibit significantly greater improvements in both innovation inputs, such as R&D expenditure, and innovation outcomes, such as high-tech exports, compared to non-recipient firms. We also observe a substantially larger beneficial impact for firms already engaged in innovation activities and those facing financial constraints. Our findings have important implications for regulatory authorities in their design of credit support programmes.

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5. Do societal promises influence patent value? An analysis of inventions in artificial intelligence

Authors: Sergio Pelaez, Barbara Esteves-Ribeiro, Gaurav Verma, Philip Shapira

DOI: [10.1016/j.respol.2026.105566](https://doi.org/10.1016/j.respol.2026.105566) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Economics of Innovation, Intellectual Property Management, Science and Technology Policy
- **Theories:** Signaling Theory, Institutional Theory

Abstract:

This paper investigates the relationship between narratives on the societal impact of artificial intelligence (AI) and patent value, in the context of the US patenting system. We advance the construct of public value expressions (PVEs), defined as statements that describe societal problems, or solutions to these problems, as offered by the invention being patented. Our dataset comprises 154,934 USPTO AI patent documents, which we analyze using a generative language model for label generation and a discriminative language model for training and large-scale classification, complemented by 12 interviews with patent attorneys, examiners, inventors and a linguist. Implementing industry, year and assignee-level fixed-effects models and count data regression approaches, we find a significant positive relationship between the occurrence and density of PVEs and well-established indicators of patent value, including forward citations, family size, claims count, and the number of technology classes, holding key confounders constant. The study makes two contributions to the STI policy and patent value literatures. First, we demonstrate that PVEs in AI patents are associated with indicators of higher technological and commercial value. This suggests that articulations of societal relevance may play a role in enhancing a patent's private value and reveal a paradox in which narratives of public benefit are mobilized to support processes that primarily target private interests and rewards. Second, to explain this paradox, we introduce the concept of "societal value embedding", a patent drafting practice through which inventors and attorneys signal the potential societal benefits of their inventions, both to align with institutional expectations (normative function) and to support patentability discussions (instrumental function).

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6. Hope, signals, and silicon: A game-theoretic model of the pre-doctoral academic labor market in the age of AI

Authors: Shaohui Wang

DOI: [10.1016/j.respol.2026.105568](https://doi.org/10.1016/j.respol.2026.105568) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Economics of Science, Labor Economics, Artificial Intelligence
- **Theories:** Game Theory, Signaling Theory, Principal-Agent Theory

Abstract:

Generative AI can make early research work easier to produce and harder to interpret. This paper develops a compact game-theoretic model of this production–evaluation tension in the pre-doctoral academic labor market. In the model, PIs organize RA labor, allocate AI between routine and novel tasks, and choose mentoring intensity. RAs choose effort, while admissions committees infer research potential from noisy task-level signals under fixed admissions capacity. A mechanism-preserving simulation examines whether the model's qualitative mechanisms continue to hold when RAs and PIs are heterogeneous, research outcomes partly depend on luck, admissions evaluation is noisy, and elite Ph.D. capacity is fixed. The analysis yields three implications. First, routine-task AI can increase observable routine output while reducing the diagnostic precision of routine evidence. Second, heterogeneous PI objectives and task complementarity can lead laboratories to adopt different AI strategies, with some emphasizing scalable routine production and others emphasizing mentoring and novel-task augmentation. Third, when elite Ph.D. capacity is fixed, broad improvements in visible records can raise admissions cutoffs rather than expand access proportionally. The simulation reinforces these mechanisms by showing that AI can raise routine output while weakening the link between evaluated scores and latent ability, increasing the risk that high-ability or high-realized-merit candidates are missed. The paper suggests that as routine evidence loses diagnostic content, evaluation should place greater weight on less easily automated forms of contribution, including judgment, interpretation, research design, and process-based evidence.

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7. How do within-industry CVC investments shape industry concentration?

Authors: Muntaser Mohamed Nuttah, Paolo Roma, Cristiano Bellavitis, Yong Li, Giovanni Perrone

DOI: [10.1016/j.respol.2026.105567](https://doi.org/10.1016/j.respol.2026.105567) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Strategic Management, Entrepreneurship, Industrial Organization
- **Theories:** Resource-Based View, Competitive Dynamics, Knowledge-Based View

Abstract:

Corporate venture capital (CVC) investments can shape industry dynamics in different ways. On one hand, they provide financial resources, expertise, and credibility that help new ventures survive and grow, thereby fostering competition. On the other hand, incumbents can use CVC to absorb knowledge and capabilities from entrepreneurial ventures, strengthening CVC investors' market positions and limiting rivalry. Given these opposing forces, it remains an open question whether higher levels of CVC investments raise or lower industry concentration. This paper advances the literature by uncovering three mechanisms underscoring the impact of within-industry CVC investments (i.e., those with both investors and investees operating in the same industry) on industry concentration and conducting an empirical analysis across U.S. industries from 2001 to 2019. Results show that greater salience of within-industry CVC investments leads to higher industry concentration. The findings carry important implications for entrepreneurial ventures, incumbents, and policymakers.

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8. Implicit criteria weighting and evaluators' backgrounds in grant peer review

Authors: Chiara Franzoni, Anders Broström, Andola Stanaj, Paula Stephan

DOI: [10.1016/j.respol.2026.105535](https://doi.org/10.1016/j.respol.2026.105535) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Science of Science, Sociology of Science, Management of R&D

- **Theories:** Commensuration Theory, Social Evaluation, Judgment and Decision Making

Abstract:

Grant peer review (GPR) is a cornerstone of modern research funding, yet the process by which reviewers integrate multiple criteria into a single overall evaluation—known as commensuration—remains poorly understood. We study the implicit weights that reviewers assign to PI qualifications, research quality, and societal relevance, using a unique dataset of 2105 review reports for 586 proposals submitted to the Swedish Foundation for Strategic Research (2011–2017), complemented by manual coding of comments and interviews with screeners and funding officers. Commensuration influences roughly 29% of final scores. The research quality criterion dominates evaluations, receiving about twice the weight of relevance. This commensuration pattern is surprisingly stable across pools of reviewers from different fields and geographic areas and irrespective of the reviewers' profile and their presumed ability to assess relevance. PI qualifications generally play a minor role, tempering concerns about pervasive reputational advantages, and tend to be used more when evaluators feel less competent, hinting that reputation is used as a fallback consideration when the reviewer lacks confidence. Overall, the results suggest that commensuration may systematically contribute to prioritizing technical merit over relevance even beyond the intentions of the funders.

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9. Knowledge sovereignty: A path to independence or isolation?

Authors: Jianjian Gao, Alexander J. Gates

DOI: [10.2139/ssrn.5551645](https://doi.org/10.2139/ssrn.5551645) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Scientometrics, Science and Technology Policy
- **Theories:** Knowledge-Based View, Resource Dependency Theory

Abstract:

Amid rising geopolitical tensions and concerns over technological sovereignty, countries are increasingly balancing investments in domestic scientific capacity with participation in global research networks. This paper examines scientific self-reliance and international collaboration as complementary dimensions of national research systems using longitudinal bibliometric data from OpenAlex. We introduce a scalable measure of research self-reliance based on citation self-preference, capturing the extent to which countries draw on their own prior knowledge in producing new research. Our statistical models reveal the relationship between self-reliance and international collaboration is conditioned by economic capacity: lower-income countries face a trade-off between the two, while higher-income systems are able to sustain both simultaneously. We further find that self-reliance is positively associated with research performance, particularly for highly cited and novel outputs, while international collaboration is more strongly linked to visibility. In contrast, disruptive research follows a distinct pattern, being negatively associated with collaboration and unrelated to self-reliance. Field-level analyses confirm that these relationships are robust but vary systematically across disciplines. Together, these findings suggest that domestic knowledge development and international engagement play distinct and outcome-specific roles in shaping scientific performance. The results provide a framework for understanding how national research systems balance autonomy and integration, and the importance of context-sensitive science policy.

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10. Modularity, architectural innovation, and new venture success¹

Authors: Likun Cao, Ziwen Chen, James Evans

DOI: [10.1016/j.respol.2026.105562](https://doi.org/10.1016/j.respol.2026.105562) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Entrepreneurship, Strategic Management, Innovation Management

- **Theories:** Architectural Innovation Framework, Organizational Learning, Complexity Theory

Abstract:

Startups face a classic dilemma in innovation strategy: should they pursue cumulative, low-risk improvements or disruptive, high-risk breakthroughs? The Henderson and Clark framework suggests that architectural innovation, which reconfigures existing economic modules in novel ways, tends to be disruptive and risky for established organizations, but the success of this strategy for entrepreneurs remains less well understood, largely based on methodological constraints. Building on a complex-economics perspective and advanced computational models, we distinguish architectural innovation from modular innovation, which incrementally updates economic modules, and modular invention, which forges new ones, within the entrepreneurship context. Then we examine how each strategy influences startup performance. We analyze 298,915 U.S. venture-funded start-ups from 1976 to 2020, embedding company descriptions within a dynamic semantic space constructed from business and patent discourse to measure innovation structure across the entire economy. Event history models show that architectural innovation is associated with successful IPOs and high-value acquisitions, while both modular innovation and invention are linked to increased risk of failure. By comparing the outcomes of architectural and modular innovation and invention, this paper reveals that what is typically seen as the riskiest form of innovation may, for startups, represent the safest route to success. These findings shed new light on the exploration- exploitation trade-off in organizational learning, with implications for entrepreneurial strategy and innovation policy.

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11. Patent protection and software firm financing

Authors: Christian Helmers, Brian J. Love

DOI: [10.1016/j.respol.2026.105571](https://doi.org/10.1016/j.respol.2026.105571) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Innovation Economics, Entrepreneurial Finance, Intellectual Property Law
- **Theories:** Signaling Theory, Property Rights Theory

Abstract:

We study the relationship between patent protection and the performance of software startups. Our empirical approach exploits the U.S. Supreme Court's 2014 decision in *Alice Corp. v. CLS Bank Int'l*, which restricted the patentability of many software inventions. Using detailed data on venture capital financing and startup outcomes, we estimate difference-in-differences models comparing firms with greater and lesser exposure to the decision. We find no evidence that startups more exposed to Alice experienced worse financing outcomes, growth, or exit probabilities. These results suggest that restrictions on software patentability had little effect on venture-backed software startups.

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12. R&D accounting and innovation signaling: Insights from Japan's pre-regulation era

Authors: Kazuyuki Motohashi, Tomomi Takada, Ayung Tseng

DOI: [10.1016/j.respol.2026.105549](https://doi.org/10.1016/j.respol.2026.105549) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Accounting, Economics of Innovation
- **Theories:** Signaling Theory, Information Asymmetry

Abstract:

Can the way firms account for R&D shape how they innovate? We exploit Japan's pre-2000 elective R&D accounting regime—allowing firms to choose between expensing and capitalization—and its 2000 transition to mandated expensing to examine how

accounting treatment shapes innovation outcomes. Using forward citations and patent applications to measure innovation quality and patenting volume across 967 Japanese firms, we find that under the elective regime, capitalized R&D is positively associated with innovation quality while expensed R&D is positively associated with patenting volume. Following the 2000 mandate, the elimination of the capitalization option leads former capitalizers to intensify patenting as a substitute disclosure mechanism, increasing applications without corresponding improvements in innovation quality. Their patenting behavior converges with always-expensing firms, reflecting an accounting-driven homogenization of innovation disclosure. These findings suggest that uniform expensing obscures economically meaningful differences in innovation activity, with implications for ongoing R&D accounting reforms at FASB and IASB.

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13. Reaching for low-hanging fruits and staying in low-value paths: Introducing capability trap theory to transition studies

Authors: Maria Tomai, George Papachristos

DOI: [10.1016/j.respol.2026.105532](https://doi.org/10.1016/j.respol.2026.105532) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Sustainability Transitions, Operations Management, Public Policy
- **Theories:** Capability Trap Theory, System Dynamics, Path Dependence

Abstract:

Our current production and consumption systems generate urban waste that has become a significant sustainability transition challenge. The urgency of the issue and the failure to appreciate the long-term consequences of policies lead to choices that are effective in the short term with little effort, analogous to reaching for 'low-hanging fruit'. However, these choices also lead to the neglect of opportunities to explore policies that may eliminate the root causes of the issue and lead to long-term improvements in the capabilities and performance of Solid Waste Management (SWM) systems. In this way, path dependence builds in SWM systems and keeps them in a capability trap, i.e., an operation mode of low performance and low value. In this paper, we introduce capability trap theory to transition studies and illustrate it in the case of Accra's SWM system in Ghana, and its transition from a linear to a circular mode of operation. In the analysis of the case, we use the whole system reconfiguration approach to 'zoom out' to the whole system structure and appreciate the multiple sources of change and their effects on the system structure. Then, we use the system dynamics approach to 'zoom in' to the feedback loops of the SWM sub-systems and show how they give rise to the capability trap. We draw on stakeholder interviews and workshops to identify leverage points for path creation towards a sustainable, circular SWM system. The combination of the two approaches and the introduction of capability trap theory into transition studies enhances our understanding of path dependence and leverage points for path creation in transition processes.

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14. Scaling innovation through public procurement: Market acceleration, building, and transformation

Authors: Maria Merisalo, Matti Pihlajamaa, Elvira Uyarra, Ville Valovirta, Juha Oksanen

DOI: [10.1016/j.respol.2026.105563](https://doi.org/10.1016/j.respol.2026.105563) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Innovation Policy, Public Procurement, Market Shaping
- **Theories:** Socio-technical Systems, Innovation Scaling Framework

Abstract:

Public procurement of innovation (PPI) is increasingly recognised as a powerful demand-side instrument for generating solutions to complex societal challenges. Yet realising this transformative potential requires innovations to scale beyond isolated

implementation contexts. We contribute to the literature by bridging innovation scaling and market shaping perspectives to develop a novel conceptual framework for scaling in the context of PPI. We identify three distinct scaling modes: 'market acceleration', where buyers stimulate business growth by facilitating innovation development, adoption, and dissemination across contexts, 'market building', where buyers aggregate public sector needs and broaden the scope of PPI, and 'market transformation', where buyers embed innovations by reshaping socio-technical systems. Through empirical investigation of twelve publicly-funded PPI projects in Finland, we identify scaling practices used by public buyers throughout the procurement lifecycle, spanning information dissemination, demand coordination, and institutional norm-shaping. Our findings advance theoretical understanding of how public procurement shapes innovation scaling, while providing practical insights into mechanisms through which public buyers can strategically influence market development.

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15. Stand on the shoulders of academia: The effect of academic directors on science-based breakthrough innovations

Authors: Yajing Li, Jun Xia

DOI: [10.1016/j.respol.2026.105569](https://doi.org/10.1016/j.respol.2026.105569) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Corporate Governance, Innovation Management, Strategic Management
- **Theories:** Resource Dependence Theory, Absorptive Capacity, Complementarity Theory

Abstract:

Drawing on the resource provision perspective within resource dependence theory, we argue that academic directors significantly enhance firms' capacity for science-based breakthrough innovations. This study also engages with a central debate in innovation research: whether external resources and internal capabilities function as complements or substitutes. Using panel data from 991 U.S. publicly listed innovative firms, we find that the presence of academic directors is positively associated with science-based breakthrough innovation, particularly in firms with a strong publication record. This supports the complementary relationship between external scientific expertise and internal R&D capabilities. Robustness checks—including instrumental variable analysis and natural experiments involving the sudden deaths of academic directors—reinforce our findings. These results offer new insights into how strategic leadership can leverage external academic expertise to drive transformative innovation.

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16. Understanding cascading failure across innovation journeys: The case of antibiotics development

Authors: Birke Dorothea Otto, Harry Sminia, Jörg Sydow

DOI: [10.1016/j.respol.2026.105482](https://doi.org/10.1016/j.respol.2026.105482) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Innovation Studies, Science and Technology Studies, Organizational Theory
- **Theories:** Process Theory, Social Constructivism, Innovation Journey Perspective

Abstract:

Innovation failure is widespread yet remains difficult to theorize. While much existing research treats failure as an event attributable to internal mismanagement, systemic imperfections or a combination of both, more recent work emphasizes its processual and relational character. Building on this latter stream, this paper reconceptualize innovation failure as a dynamic and socially mediated process that unfolds across interrelated innovation journeys within an innovation field. Rather than asking why innovations fail, we examine how failure experiences are constituted in practice, how actors respond to them, and how these responses accumulate over time to shape innovation field dynamics. Empirically, we analyze responses to the common

setback of a discontinued clinical trial in the field of antibiotic innovation in the face of increasing antimicrobial resistance. We identify three typical responses (reviving, shifting, giving up) elicited by such a setback and find that in their interaction these responses produce an increasingly constraining structure that affects innovation activities in the field. We conceptualize this dynamic as cascading failure, a process through which successive and recursive responses to setbacks transform innovation expectations into constraints for further innovation. The concept of cascading failure explains why the discourse of a “broken market” and an “empty pipeline” that characterises antibiotic innovation has become so persistent and performative.

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17. Understanding regional readiness to contribute to the bioeconomy: The role of higher education institutions and other regional characteristics

Authors: Maike Becker, Francesco Cappellano, Indra da Silva Wagner, Teemu Makkonen, Bernd Ebersberger

DOI: [10.1016/j.respol.2026.105547](https://doi.org/10.1016/j.respol.2026.105547) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Regional Economics, Innovation Studies, Economic Geography, Sustainability Transitions
- **Theories:** Regional Innovation Systems, Triple Helix Model, Place-based Innovation Policy

Abstract:

The transformation from a fossil-based economy toward the bioeconomy offers a promising avenue for addressing various Sustainable Development Goals but also poses a major societal challenge (SC). Designing effective place-based innovation policies to tackle this SC requires acknowledging that regions differ in their readiness to contribute to the bioeconomy transformation and understanding which place-specific characteristics underpin this readiness. This study was conducted to identify regional characteristics—capturing regional capabilities and resources, network embeddedness, institutional configurations, as well as higher education institutions (HEIs) and the research landscape—that are robustly correlated with regional readiness. We paid particular attention to the role of HEIs because they possess unique capacities to contribute to innovation and transformation. Taking Germany as an example, we measured the regional readiness of the 401 German NUTS-3 regions using the RE-SCORE index and employed Bayesian model averaging to assess the robustness of 55 potential predictor variables. Our findings show the potential of rural regions and further show that regional readiness is associated with embeddedness in interregional networks and the prevalence of pro-environmental attitudes. HEIs were found to enhance regional readiness through education rather than research. Relevant research output is generated by research institutes. The results suggest that HEIs can help rural regions leverage their potential.

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18. When government shuts down science: Evidence from U.S. Antarctic research

Authors: Kris Gulati, Christian Helmers

DOI: [10.1016/j.respol.2026.105572](https://doi.org/10.1016/j.respol.2026.105572) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Economics of Science, Science Policy
- **Theories:** Knowledge Production Function, Resource Disruption

Abstract:

We study the 2013 U.S. federal government shutdown and its impact on federally funded research in Antarctica. Although the shutdown lasted only 16 days, it coincided with the start of the Antarctic summer field season, a narrow window for data collection that relies on geographically unique, time-sensitive, and difficult-to-substitute research inputs. Using scientist-level data with a difference-in-differences design and exploiting the timing of the shutdown, we document an 11% decline in the number of byline-weighted publications among affected researchers, as well as altered collaboration patterns, which we

corroborate with qualitative survey evidence. These findings show that even brief disruptions can have lasting effects on science when they block access to specialized, time-sensitive, and hard-to-replace research inputs.

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19. 'Systems of use': A lens to more deeply study user innovation

Authors: Eric von Hippel

DOI: [10.1016/j.respol.2026.105534](https://doi.org/10.1016/j.respol.2026.105534) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Innovation Management, User Innovation
- **Theories:** Systems Theory, User Innovation Theory, Socio-technical Systems Perspective

Abstract:

I propose that the concept of 'systems of use' can be a valuable lens for more deeply understanding user innovation processes and outcomes. I define a system of use as a group of components that interact during use to accomplish a system-level goal. Each component, which may be a physical or digital product, or a human behavior, plays a role in a specific system of use by accepting inputs, processing them, and providing outputs within and beyond that system. To date, research on innovation has largely focused on the nature of, and innovative history of, and value of specific product innovations. A system of use perspective adds a focus onto the contexts within which specific innovations function. This altered focus, in turn, draws attention to related adaptations and innovations that are often required to integrate specific innovations into such systems. Specifically, a system focus can behavioral system of use components that are often overlooked - especially when they are diffused peer-to-peer rather than being sold on markets. Further, a system focus can document the often rapid changes that end users may make to their own systems of use as they adapt to new circumstances, but without changing the major product components that are normally tracked as a way to identify system change.

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1. Optimal financing design for drug development firms

Authors: Richard T. Thakor, Andrew W. Lo

DOI: [10.2139/ssrn.4968434](https://doi.org/10.2139/ssrn.4968434) **Published:** 2026-09-01

Fields & Theories:

- **Fields:** Entrepreneurial Finance, Innovation Management, Corporate Finance
- **Theories:** Mechanism Design, Agency Theory, Contract Theory

Abstract:

We examine optimal financing design for R&D-intensive firms developing new drugs. When firms raise external financing using equity, they underinvest in R&D. But when the set of contracts is augmented to include more general (non-linear) payoff schemes, options combined with equity financing, this underinvestment is reduced. We then use a mechanism design approach and show that such non-linear schemes can attenuate R&D underinvestment by using a novel financing design that combines equity with put options to provide bilateral insurance to firms and investors. Investors insure firms against R&D failure and firms insure investors against high R&D payoffs not being realized. Interviews with industry experts indicate both the attractiveness and feasibility of the new financing design.

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